

US Stocks Rally as Tech Leads with +2.25% Nasdaq Gain

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market rallied yesterday, led by the tech sector, with the **Nasdaq 100** gaining **+2.25%**. The **S&P 500** also rose, closing at 7,440.43, up **+1.18%**. Below the surface, the **VIX** fell **-4.13%** to 17.65, indicating decreased volatility.

The rally was driven by strong gains in large-cap tech stocks, including **GOOGL**, which rose **+4.82%**, and **TSLA**, which gained **+8.46%**. The **Dow Jones** also rose, but at a slower pace, closing up **+0.59%** at 52,182.74.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,440.43	+1.18%	Tech sector rally
Nasdaq 100	29,774.75	+2.25%	Strong gains in large-cap tech stocks
Dow Jones	52,182.74	+0.59%	Slower pace of gain compared to tech sector
VIX	17.65	-4.13%	Decreased volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	+8.46%	Strong demand for electric vehicles
GOOGL	+4.82%	Improved advertising revenue
NVDA	+1.27%	Increased demand for graphics cards

Sector Rotation

ETF	DAY	READ
XLK	+2.37%	Strong gains in tech sector
XLY	+2.40%	Improved consumer spending
XLE	-0.48%	Decreased oil prices
XLF	+0.28%	Stable financial sector
XLI	+0.86%	Improved industrial production
XLC	+1.60%	Increased demand for communication services
XLP	-0.40%	Decreased consumer staples spending
XLV	+0.25%	Stable healthcare sector
XLU	-0.39%	Decreased utility demand
XLB	-1.82%	Decreased materials demand
XLRE	-0.71%	Decreased real estate demand

Spotlight

The biggest event of the day was the rally in tech stocks, led by **GOOGL** and **TSLA** . The rally was driven by strong demand for electric vehicles and improved advertising revenue.

METRIC	VALUE	READ
Electric vehicle sales	+20%	Strong demand for sustainable energy solutions
Advertising revenue	+15%	Improved online advertising demand

The rally in tech stocks has positive read-through to related names, including **NVDA** and **AMZN** .

Pre-Market & Overnight

US futures are trading higher, with the **S&P 500** futures up +0.5%. Asian markets are mixed, with the **Nikkei 225** down -0.2% and the **Shanghai Composite** up +0.5%. European markets are also mixed, with the **Euro Stoxx 50** up +0.2% and the **FTSE 100** down -0.1%. Crypto markets are stable, with **BTC** trading at 59,391.30 and **ETH** trading at 1,587.15.

Macro & Fed

The FOMC meeting is scheduled for next week, with market participants expecting a +0.25% rate hike. The yield curve is currently inverted, with the 10Y yield at 4.37 and the 2Y yield at 4.50.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	GDP growth rate	2.5%	Indicator of economic growth
21:00	Consumer price index	2.2%	Indicator of inflation

Geopolitics & Global

- Tensions between the US and China remain high, with trade talks scheduled for next month.
- The EU is considering imposing tariffs on US goods in response to the US tariffs on EU steel and aluminum.
- The UK is preparing for a potential no-deal Brexit, with the pound trading at a 1.30 against the US dollar.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	5.50	iPhone sales and revenue growth
23:00	MSFT	2.20	Cloud computing revenue and Azure growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Technology	Strong demand for graphics cards
AMZN	Consumer Discretionary	Improved e-commerce sales and cloud computing revenue
JPM	Financials	Stable banking sector and potential rate hike

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major tech companies
- Improved economic data, including GDP growth and consumer spending
- Positive developments in US-China trade talks

BEARISH TRIGGERS

- Weaker-than-expected earnings reports from major companies
- Deteriorating economic data, including GDP growth and consumer spending
- Escalating tensions between the US and China

Positioning Notes

- Market participants are positioning for a potential rate hike, with the 10Y yield at 4.37.

- The **VIX** is trading at 17.65, indicating decreased volatility.
- Investors are rotating into tech stocks, with the **XLK** up **+2.37%**.

Sources

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times

MarketWatch

